

not for an operating business (it has none) but for a corporate shell that is obligated to purchase an operating business, generally within 18 or 24 months. If the SPAC is unable to complete an acquisition, the investors get their money back in full, and the SPAC is liquidated.

Moreover, when the SPAC agrees to acquire a target, investors have the option of redeeming for \$10 a share, plus interest.⁸ Those who do not redeem will own a share in the newly merged business. In other words, the SPAC investors get a free look. Actually, their situation is even better than that. Original investors in a SPAC not only get a share for their 10 bucks, they also get a fractional warrant. Since holders who redeem may keep the warrants, redeeming investors even retain some upside.

Clearly, there is a carrot for SPAC investors, but it is fair to ask, who is paying for this seemingly free lunch and why? SPACs do not materialize out of thin air; they are formed by a sponsor, generally an investor group or other financial operator. In return for organizing the SPAC, the sponsor takes a 20% slice of the SPAC essentially for free, although it does have to invest some millions in setting it up. Thus the sponsor has a powerful incentive to find a target company and execute a merger—otherwise, the SPAC liquidates and its investment is lost.

The free lunch for the SPAC investors serves as an inducement to attract capital and get the project going. And they are not the only ones getting lunch. The sponsor needs a Wall Street bank or banks to underwrite the initial sale of shares, and the investment bank charges a 2% fee on the underwriting and another 3.5% if the SPAC completes an acquisition. The SPAC is also subject to various advisory, legal, and other fees. Adding up these sundry expenses, it should be clear that the SPAC is burdened with considerable costs.

⁸ IPO funds are put in trust, thus redemption is guaranteed.